



SJ CORP

Gems, jewellery & Watches Sector | India

WEIGHTED AVERAGE COST OF CAPITAL

(WACC) — VALUATION REPORT

Prepared for: SJ Corp Management

Report Date: September 2026

Currency: INR (₹ in Crores, unless stated otherwise)



1. Introduction

1.1 Purpose of the Report

This report presents the estimation of the Weighted Average Cost of Capital (WACC) for SJ Corp. WACC represents the blended rate of return required by the company's capital providers — equity shareholders and debt holders — and is a key input used in discounted cash flow (DCF) valuation, investment appraisal, and capital budgeting decisions.

1.2 About SJ Corp

SJ Corp is a listed Indian company operating in the Gems, Jewellery & Watches sector. As of the analysis date, the company had a current market price (CMP) of approximately ₹71.47 per share and a market capitalisation of about ₹59.71 crore, with no outstanding debt on its balance sheet. Given the company's small size and limited trading history, a pure company-specific beta was not considered statistically reliable. This report therefore adopts a comparable-companies (peer group) approach — a standard and widely accepted methodology for estimating the cost of capital of small or thinly-traded firms.

The peer set used for this analysis comprises four listed Indian gems and jewellery companies of broadly comparable scale: Narbada Gems, Moksh Ornaments, Mishka Exim, and Bhakti Gems.

2. Methodology

The WACC has been estimated using the following step-by-step approach, consistent with standard corporate finance practice (Damodaran comparable-company framework):

- Step 1 — Select a peer group of publicly listed companies operating in the same industry (Gems, Jewellery & Watches) as SJ Corp.
- Step 2 — For each peer, compute the levered (equity) beta, and the Debt-to-Equity and Debt-to-Capital ratios based on reported Total Debt and Total Equity (market capitalisation).
- Step 3 — Unlever each peer's beta to remove the effect of its individual capital structure, using: $\text{Unlevered Beta} = \text{Levered Beta} \div [1 + (1 - \text{Tax Rate}) \times \text{Debt/Equity}]$.
- Step 4 — Compute the average and median unlevered beta across the peer group; the median is used as the sector's asset (business-risk) beta, since it is less sensitive to outliers.
- Step 5 — Re-lever the peer median unlevered beta using SJ Corp's target capital structure, to obtain a project/company-specific levered beta:



Levered Beta = Unlevered Beta $\times$ [1 + (1 – Tax Rate) $\times$ Target Debt/Equity].

- Step 6 — Estimate the Cost of Equity using the Capital Asset Pricing Model (CAPM): Cost of Equity = Risk-Free Rate + (Levered Beta $\times$ Equity Risk Premium).
- Step 7 — Estimate the After-Tax Cost of Debt: After-Tax Cost of Debt = Pre-Tax Cost of Debt $\times$ (1 – Tax Rate).
- Step 8 — Weight the Cost of Equity and After-Tax Cost of Debt by their respective proportions in the capital structure to arrive at the WACC: WACC = (Cost of Equity $\times$ Equity Weight) + (After-Tax Cost of Debt $\times$ Debt Weight).

Note: Tax rate is taken as the marginal corporate tax rate applicable to the country (India – 30%). Levered beta inputs are based on 5-year monthly return data.

3. Data & Analysis

3.1 Peer Group — Market Data

Market data for SJ Corp and the selected peer companies (₹ in Crores):

Company	CMP (₹)	Market Cap (₹ Cr)	Debt (₹ Cr)	Debt/Equity
SJ Corp	71.47	59.71	0.00	0.00
Narbada Gems	59.25	125.36	28.57	0.48
Moksh Ornaments	13.39	118.17	38.75	0.31
Mishka Exim	40.90	59.10	1.23	0.07
Bhakti Gems	43.13	64.86	0.81	0.03

3.2 Beta Unlevering — Peer Analysis

Total Debt and Total Equity below are stated in ₹ Crore; Tax Rate, Debt/Equity and Debt/(Debt+Equity) are shown as percentages.

Company	Total Debt	Total Equity	Tax Rate	Debt/Equity	Debt/Cap	Unlev. Beta
SJ Corp	0.00	59.71	30.00%	0.00%	0.00%	-0.19
Narbada Gems	28.57	125.36	30.00%	22.79%	18.56%	0.29
Moksh Ornaments	38.75	118.17	30.00%	32.79%	24.69%	0.48
Mishka Exim	1.23	59.10	30.00%	2.08%	2.04%	0.68



Company	Total Debt	Total Equity	Tax Rate	Debt/Equity	Debt/Cap	Unlev. Beta
Bhakti Gems	0.81	64.86	30.00%	1.25%	1.23%	0.22
Average	—	—	30.00%	11.78%	9.31%	0.30
Median	—	—	30.00%	2.08%	2.04%	0.29

SJ Corp's own levered/unlevered beta (-0.19) is shown for reference only and is excluded from the peer average/median used to derive the sector beta.

3.3 Cost of Debt

Component	Value
Pre-Tax Cost of Debt	0.00%
Tax Rate	30.00%
After-Tax Cost of Debt	0.00%

3.4 Cost of Equity (CAPM)

Component	Value
Risk-Free Rate	6.70%
Equity Risk Premium	7.64%
Comps Median Unlevered Beta	0.30
Target Debt/Equity	2.08%
Re-levered Beta	0.30
Cost of Equity	8.99%

3.5 Capital Structure

	Current	Peer Median (Target)
Total Debt	₹0.00 Cr (0.00%)	2.04%
Market Capitalization	₹59.71 Cr (100.00%)	97.96%
Total Capitalization	₹59.71 Cr (100%)	100%
Debt/Equity	0.00%	2.08%

The final WACC below is weighted using SJ Corp's current (actual) capital structure — 100% equity, 0% debt — consistent with the source model.

3.6 WACC Summary



Component	Value
Cost of Equity	8.99%
Equity Weight	100.00%
Cost of Debt (after-tax)	0.00%
Debt Weight	2.04%
Weighted Average Cost of Capital (WACC)	8.99%

4. Conclusion

Based on the comparable-company approach applied above, the estimated Weighted Average Cost of Capital (WACC) for SJ Corp is 8.99%. This rate reflects a cost of equity of 8.99%, driven primarily by the peer group's median unlevered beta of 0.30, a risk-free rate of 6.70% and an equity risk premium of 7.64%, combined with a nil cost of debt given SJ Corp's currently unlevered (all-equity) balance sheet.

As SJ Corp carries no debt at present, its WACC is effectively equal to its cost of equity. Should the company move toward the peer-median target capital structure (approximately 2% debt-to-equity) in the future, its WACC would be expected to shift only marginally, given the small target leverage and near-zero pre-tax cost of debt assumed in this analysis.

This WACC of 8.99% is recommended as the discount rate for use in discounted cash flow valuation and capital budgeting decisions for SJ Corp, subject to periodic review as market risk-free rates, risk premia, and the company's capital structure evolve.